State of the Union Financial Q&A: Arkansas

A comprehensive educational reference detailing specific tax codes, financial structures, and economic regulations native to the state of Arkansas.

Q1: What is the top marginal individual income tax rate in Arkansas?

Answer: Arkansas has progressively lowered its top individual income tax rate, aiming for competitive regional rates, down to 3.9% for top earners.

Q2: Does Arkansas tax Social Security benefits?

Answer: No, Arkansas completely exempts Social Security benefits from state individual income tax.

Q3: What is the Arkansas 'Homestead Property Tax Credit'?

Answer: Arkansas provides an automatic tax credit of up to $425 applied directly against the property tax reflected on the taxpayer's principal place of residence.